

Statement of the Association of National Advertisers (ANA) to the Colorado Attorney General on Regulations Implementing the Colorado Privacy Act

June 28, 2022

Good afternoon and thank you for the opportunity to offer input on key topics for the Colorado Attorney General's office to consider as it drafts Colorado Privacy Act implementing regulations. My name is Travis Frazier, and I am the Manager of Government Relations at the Association of National Advertisers -- the "ANA."

The ANA serves the marketing needs of 20,000 brands with a membership consisting of a diverse set of leading companies, nonprofits, data science and technology companies, ad agencies, and more. The ANA leads the advertising industry by serving, educating, and advocating for more than 50,000 industry members that collectively invest more than \$400 billion in marketing and advertising annually.

The ANA and its members strongly agree that protecting consumer privacy is of the utmost importance. Our members working diligently to align their compliance programs with the requirements of existing state privacy laws, like in California, Connecticut, Virginia, and Utah. At the same time, they are navigating a complex patchwork of state laws emerging across the nation which create immense challenges and substantially rising costs for businesses striving to operate nationwide. In the face of these astronomical costs, we urge the Colorado Attorney General to work to align its regulations with other state requirements to reduce the economic burdens of the law while maintaining robust privacy protections for the citizens of Colorado.

One recent study found that state privacy law requirements could impose between 98 billion and 112 billion dollars of costs annually. According to the study, over a 10-year period, these costs would exceed 1 trillion dollars. The study also found that small businesses would bear an extraordinary portion of this burden—an amount approximately equal to 20 to 23 billion dollars.

Other studies have confirmed the staggering costs to the business community that have resulted from complex and varying privacy rules across the states. For example, in response to one survey of businesses, two-thirds of respondents indicated it takes them two or more weeks of time and resources to respond to a single consumer rights request. Because companies' responses are often processed manually, the study found that the average cost of each request is roughly \$1,520 U.S. dollars. Research also shows that most organizations must involve anywhere from 26 to 50 employees in processing a single consumer rights request, and on average, a privacy employee spends about 2 to 4 months (or 60 to 130 hours) in a year working on compliance with consumer rights requests. At this rate, it is easy to see that as the number of consumer requests add up, so does the cost of compliance. And, with ever-changing laws and regulations, companies are constantly forced to re-assess their processes and compliance plans to adjust to substantively changing obligations.

It is also important to remember the impact that the Colorado Privacy Act will have on the nonprofit community. There are over 19,000 Colorado nonprofit organizations including major

hospitals and humanitarian aid organizations which represent 6% of the state economy. Because the Colorado Privacy Act is the first state privacy law to impact nonprofits, it will be very costly for charitable organizations, diverting their limited resources away from performing their missions. The responsible use of “sensitive data” is also critical to nonprofit operations. We urge the Attorney General to create regulations regarding the use of “sensitive data” that allows the continued responsible use in non-discriminatory ways to provide important benefits to consumers.

To be clear, ANA wants to stress that we and our members support consumer choice. We have the nation’s oldest and largest opt-out mechanism for individuals, where an individual can opt-out of future mailings, emails and phone calls. ANA is also a founding member of the Digital Advertising Alliance, the advertising industry’s self-regulatory body.

As the Colorado Attorney General drafts implementing regulations related to universal opt out mechanisms, we ask you to prioritize and memorialize key safeguards surrounding such controls that are set forth in the Colorado Privacy Act itself. The law requires the Colorado Attorney General to issue rules to ensure that a consumer’s choice to set a universal opt out mechanism is “affirmative, freely given, and unambiguous,” meaning that the universal control must be set by the consumer themselves and cannot be turned on by browsers or other intermediaries by default. Additionally, the law stresses that these mechanisms must be constructed in a way that does not disadvantage one controller or business model in comparison to another. We urge you to consider how universal opt out mechanisms—oftentimes set at the browser level—can entrench certain companies to the detriment of their small and mid-size counterparts. Finally, we urge you to implement regulations, as required by the CPA, to make certain that a controller can accurately authenticate that a consumer submitting a request to opt out through a universal mechanism is a resident of Colorado. All of the aforementioned safeguards, which are explicitly written into the universal opt out mechanism regulatory directive in the Colorado Privacy Act, are imperative to develop a fair and clear universal opt out mechanism that is in line with consumer expectations.

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It is ANA’s hope that the Colorado Attorney General will develop reasonable regulations that protect consumer privacy and allow businesses to continue to innovate, thrive in today’s data driven economy and facilitate consumers’ access to a wealth of information online. The Attorney General’s office should avoid rules that would significantly reduce the use and value of consumer data. Overly broad regulations would significantly hinder business operations, kill small and start-up businesses, and deprive consumers of benefits and advantages they currently receive through access to an open and largely free Internet ecosystem. Consumers will also certainly feel the effects of the Colorado Privacy Act regulations, which will raise the cost of doing business in Colorado.

We will be submitting detailed written comments in response to the Attorney General’s proposed regulations implementing the Colorado Privacy Act, which will set forth more information about

these and a number of other important concerns. We look forward to working with you during the rulemaking process we always welcome you to reach out to us with any questions.

Thank you for the opportunity to speak to you today.